

JC1 H2 Economics case study

JC1 H2 Economics practice case

H2 Economics case study. Use the supplied extracts and market model to answer the questions.

Extract A - A heartland lunch market

Stallholders in a Singapore neighbourhood face higher imported ingredient costs. In this market model, other input costs and consumer preferences initially stay unchanged. Some workers have limited time to travel for lunch, while others can bring food from home or switch meals. No empirical price-elasticity estimate is supplied.

Extract B - A policy discussion

A policy team considers a temporary maximum meal price, a producer subsidy, and targeted household support. Its objectives are affordability for lower-income households and continued meal availability. Public funds and administrative capacity are limited, but no numerical government budget is given. Consider both people who obtain a meal and those who cannot at a controlled price.

Market model

Price P is SGD per meal. Q is hundreds of meals per day. Demand $Q_d = 200 - 20P$. Initial supply $Q_{s0} = 20P$. After the input-cost increase $Q_{s1} = 20P - 40$. Use $P \geq 2$ for the displayed supply-after values. These equations are teaching assumptions, not empirical estimates.

Item	Initial	After cost increase
Equilibrium price, SGD	5	6
Equilibrium quantity, hundreds of meals/day	100	80

At a price ceiling $P=5$ after the shock, $Q_d=100$ and $Q_{s1}=60$. The shortage is 40 hundreds of meals/day (4,000 meals/day). Keep the displayed quantity unit consistent.

Questions

- E1. Explain the effect of higher imported ingredient costs, holding other factors constant.
- E2. Explain how PED affects the quantity response; apply the context and state what cannot be inferred.
- E3. Explain the effect of a S\$5 ceiling using the market model.
- E4. Evaluate a price ceiling against a producer subsidy and targeted household support.